# Past Consideration

Why the timing of a promise matters

You translate a short notice for a neighbour as a free favour. When you finish, the neighbour says, “Thank you. I will give you £20.” If the neighbour later refuses, can your completed translation support that new promise? Normally, it cannot: the work was not given in exchange for the later promise.

This guide introduces past consideration in the law of England and Wales. It is written for university English students with no legal background. Start with the sequence of events, then ask whether an earlier request and an understood return change the analysis.

## 1 Consideration means an exchange

**Consideration** is a legally recognised return for a promise. It may be an act, a promise to act, or an agreement to refrain from doing something. The person seeking to enforce a promise normally needs to show what they gave or promised in exchange for it.

Here, “consideration” does not mean careful thought. A **promisor** makes the promise; a **promisee** receives it. In the opening example, the neighbour is the promisor of payment and you are the promisee.

## 2 The general rule

**Past consideration** describes an earlier act relied on to support a later promise, where the act was not part of the exchange for that promise. A completed, voluntary favour does not normally become contractual consideration simply because someone afterwards promises a reward.

| SEQUENCE | CONSIDERATION ANALYSIS |
|---|---|
| First: a free favour is completed.<br>Then: payment is promised. | Normally past consideration: the new promise was not the basis on which the favour was performed. |
| First: payment is agreed for the work.<br>Then: the work is completed.<br>Finally: payment becomes due. | Ordinary agreed exchange. Paying after performance does not make the work past consideration. |

## 3 Payment later is perfectly normal

On Monday a business agrees to pay you £50 for a translation. You deliver it on Wednesday; payment is due on Friday. The work follows the bargain. The issue is not whether money changes hands before the work, but whether the work belongs to an agreed exchange.

# Re McArdle: Improvements First

Re McArdle [1951] Ch 669 | Court of Appeal

## 4 What happened?

A deceased father's estate included a property. His widow had a life interest, with their five children entitled afterwards. One son and his wife lived there. Improvements were made in 1943-44, and the wife paid the costs. In April 1945 the five children signed a document agreeing to repayment of £488 from the estate when distributed.

After the widow died, the wife sought payment. The children objected. The document was signed after all the improvements had been completed.

## 5 Who won, and why?

**Outcome:** the appeal succeeded against the wife's claim. The Court of Appeal held that the repayment agreement was not enforceable as a contract: the work was wholly past and nothing remained for her to do. The document also failed as an equitable assignment, a proposed transfer of a right to receive money.

## 6 Read the real sequence, not just the wording

| EVENT | WHY IT MATTERS |
|---|---|
| 1943-44: improvements carried out. | The work later relied on as consideration was already finished. |
| 1945: signed repayment document. | Written words cannot by themselves turn earlier completed work into a new exchange. |
| Later: payment disputed. | The claimant must establish the legal basis of the promised payment. |

Imagine a different arrangement: before renovations start, the relevant parties agree that the work will be done for an agreed payment. That changes the consideration analysis because the work is undertaken as part of the bargain. Other contract requirements must still be checked.

## 7 Useful language from the case

An **estate** is property and assets dealt with after someone dies. A **beneficiary** is a person entitled to a benefit under a will or trust. A **life interest** lasts for the holder's lifetime; it is different from unrestricted ownership.

**Re**, used at the beginning of this case name, means "in the matter of". The dispute arose in the administration of an estate. For this lesson, focus on the later repayment document and the earlier completed work.

A signed promise can look convincing. Ask what supports it legally. The amount of effort, the value of the improvement and a sense of gratitude do not, on their own, answer the consideration question.

# An Earlier Request Can Matter

Lampleigh v Brathwait (1615) Hob 105; 80 ER 255

## 8 The historical dispute

Brathwait had unlawfully killed a man. He asked Lampleigh to make efforts to obtain a royal pardon. Lampleigh spent time and his own money travelling and seeking it. Afterwards Brathwait promised £100, but did not pay.

A **pardon** is an act of official clemency. This contract case concerns payment for requested efforts; it is not a trial deciding guilt for the killing.

## 9 The outcome and the lesson

**Outcome:** Lampleigh won, with £100 damages. The court connected the later promise to the earlier request and the efforts made in response. The requested undertaking was to endeavour to obtain the pardon; the judgment did not require proof that a pardon was actually obtained.

The case illustrates why not every act performed before an express payment promise is a free favour. The circumstances may connect the earlier service with an understood return. A request alone, however, is not the complete modern test.

## 10 The three conditions in Pao On

In *Pao On v Lau Yiu Long* [1980] AC 614, the Privy Council stated three conditions for an earlier act to support a later promise:

| CONDITION | QUESTION TO ASK |
|---|---|
| 1. The promisor requested the act. | Did the person making the later promise ask for the earlier act? |
| 2. Both parties understood there would be a return. | Was payment or another benefit understood when the act was undertaken? |
| 3. That return could have been enforced if promised beforehand. | Would an advance promise have been legally enforceable? |

The dispute arose from a Hong Kong share transaction, including a restriction on selling shares and protection against a fall in their price. The Privy Council found valid consideration for the indemnity, meaning a promise to cover the relevant loss. **Outcome:** the Paos' appeal succeeded and their trial-court award was restored. The defence based on duress failed on the facts.

## 11 A request is not a promise of payment

"Please help me move this chair" may simply request a free favour. Compare a business asking a professional translator for urgent work in circumstances showing both sides expect a fee. The words, relationship and surrounding evidence matter; do not assume every request creates a paid contract.

# Applying the Rule

## 12 A practical method

**First:** identify the exact promise being enforced.
**Second:** record the request, any understanding about a return, the work and the later promise in time order.
**Third:** decide whether there was already a bargain or whether the three conditions for an earlier requested act are met.
**Fourth:** state the consideration conclusion, then check intention, certainty and any other applicable requirements.

## 13 Three comparisons

| EXAMPLE | LIKELY ANALYSIS |
|---|---|
| A company promises £60 before you translate its leaflet. You then translate it. | Work performed under an agreed exchange; payment afterwards is ordinary performance. |
| You voluntarily translate a leaflet as a gift. Afterwards the company promises £60. | Normally past consideration for that new promise. A later reward does not create the original exchange. |
| A company requests professional work; both sides understand it is paid. After delivery, they settle the fee. | Consider the earlier request and understood remuneration. Check all three conditions and the other contract requirements. |

## 14 Essential vocabulary

**Gratuitous:** given freely, without an agreed return.
**Remuneration:** payment or another reward for work.
**Enforceable:** capable of being enforced through legal proceedings.
**Damages:** money awarded as a legal remedy.
**Breach:** failure to perform a contractual obligation.

## 15 Check your understanding

**1.** True or false: paying after completion always means past consideration.
**2.** In *Re McArdle*, was the work finished before the repayment document?
**3.** Does a request for help alone satisfy the three-condition test?
**4.** A student translates a notice as a free favour. A reward is promised only afterwards. What is the normal consideration conclusion?

**Answers:** 1. False: an earlier bargain may provide the exchange. 2. Yes; the repayment agreement failed as a contract. 3. No: an understood return and enforceability if promised in advance also matter. 4. The completed favour is normally past consideration for the later promise.

**Authorities:** Re McArdle, reproduced law-report digest; Lampleigh, judgment; Pao On, judgment.

Based on the supplied *Past Consideration* lesson. Examples are simplified. This guide concerns ordinary contracts requiring consideration; deeds and separate grounds of recovery need their own analysis.